



English, Economics, Politics, and Philosophy

Unit 2 Topics in Business

Lesson 2.1: Value, Wealth, and Money

Pertinent Topics:

- The central character of money in economics
- Wealth
- Value

Success Criteria:

- I will understand money's strict definition in economics
- I will learn the concept of wealth
- I will learn the concept of value

MINDS ON

Before we jump into our tutorial today, let's 'meditate' on the concepts of money, or a 'broader kind' wealth. What do people mean when they say he is rich, or Elon Musk is the richest person?



m: maybe that person has a lot of money. He has a lot of wealth. They will have big houses. They have good cars. They are materially abundant

I. Money in Economics

Last time we learnt about the five characteristics of money, i.e., scarcity, durability, portability, divisibility, and acceptability. Deriving from these characteristics, in economics we define money strictly as “the storage of value” or “the facilitator of transaction.” Here, scarcity and durability ensure the conservation of the value of money; whereas portability, divisibility and acceptability empower the facilitation of transaction—it allows people to trade easier and immediate.

Review March 29th

characteristics of money: 1) durability, 2) scarcity, 3) acceptability 4) portability, 5) divisibility

durability: endurance of a thing, e.g., hardness

scarcity: how less the amount is (shortage of it)

acceptability: this money is ‘agreed’ or ‘recognized’

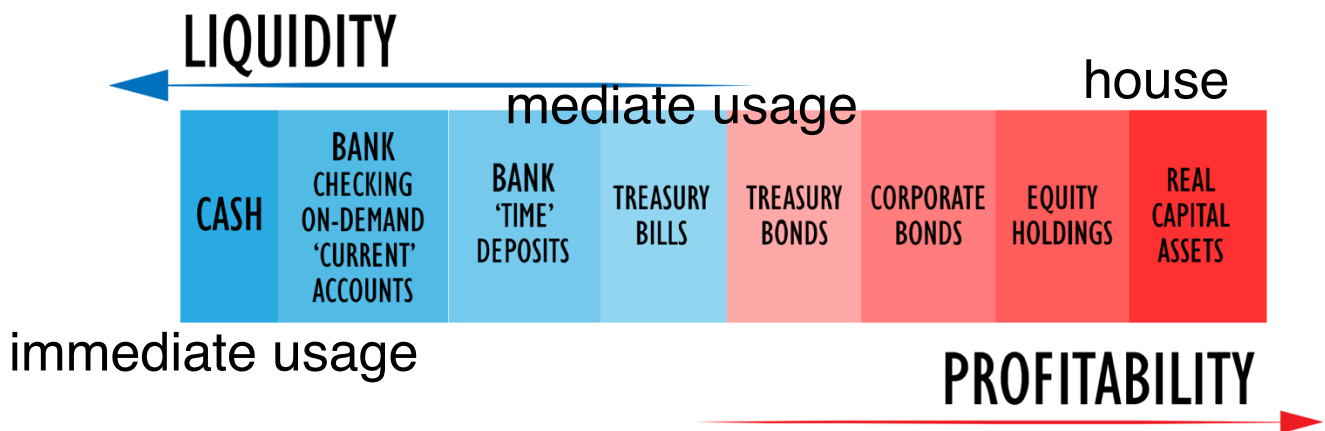
portability: it’s easy to move it

divisibility: we can separate it and put it back of the same value

II. Wealth

Wealth, on the other hand, would encompass a broader sense of the **estimation of values**. It includes **bonds, stock, real estate**, etc.

Essentially, we can think of money as being the immediate coordinator/facilitator of transactions. We can see also by ranking a wide range of kinds of wealth, we will have a spectrum:



Here notice two words represented by arrows pointing toward different end labelled with liquidity and profitability. But what do they mean actually? Water is a form of liquid, does this give us some insights?

Metaphorically, picture in your head a peaceful pool of water. There, the water stays stagnant, and upon raining, the level of the pool elevates. Now picture also, connected to this pool there is a turbulent river. This river is lively and turbulent, the water fluxes, over time the amount of water diminishes. Analogically, from the pool we gain profitability; from the river we gain liquidity.



conclusion: money just is a type of wealth
wealth also includes bonds, stocks, real estates

wealth is the estimation of value

III. Value

Here we have value, a term widely used in the study of economics. What exactly is value? Adam Smith and Karl Marx both think value = cost of labour + profit. Friedrich Wieser says it is the opportunity cost (imputed value). **Carl Menger** thinks value is subjective, etc. In order for us to understand this concept thoroughly, here is one paradox that bothers economist since the inception of economics discipline.



The Water Diamond Paradox



According to the law of scarcity, **diamond shall be more valuable to a bottle of water**. This is because diamond is **scarcer** than water. But imagine now you are a person being left amidst the nihil of a dessert. You are thirsty and is dehydrated. Suddenly a demon from the other dimension descend to our world offering you two options: water or diamond. What should you choose and why? This will be your food for thoughts this week!

(P.S., you can also use the back page to write your answer. I expect you to write more than the size of his tiny box)

Is value objective or subjective?

Adam Smith and Karl Marx: objective=independent

Carl Menger: subjective=dependent

Friedrich Wieser: subjective, preference is also subjective
(imputed value)